

EQUITY RESEARCH

INTEL CORPORATION

INTC | Technology

Rating: Sell

Current: \$94.75 | Target: \$65.00

April 2026

Key Metrics Snapshot

Market Cap	\$475.74B	ROE	-0.23%
P/E (Fwd)	-658.38	Dividend Yield	0.13%
P/B Ratio	1.54	52W Range	\$18.97 - \$94.95

Investment Thesis

Intel Corporation is navigating a challenging financial landscape, with revenues declining at a CAGR of -9.6% and a strained EBITDA margin improving from a low of 2.3% in 2024 to an expected 30.6% by 2027. Despite a current negative EPS and a high PE ratio, the company is projected to gradually recover its financial performance, aiming for revenue growth and margin expansion in the coming years. Peer comparisons show Intel's EV/EBITDA ratio improving, indicating potential for operational recovery relative to competitors.

Company Overview

Intel Corporation (INTC) is a leading technology company renowned for its design and manufacturing of essential semiconductor products, primarily microprocessors, which form the backbone of most personal computers and servers worldwide. Intel's business model revolves around the development of cutting-edge technology and innovation in the semiconductor industry, delivering high-performance computing solutions that cater primarily to the data center, personal computing, and the Internet of Things (IoT) markets.

Intel offers a range of products and services, including central processing units (CPUs), chipsets, integrated graphics, and networking products. The company is also expanding its portfolio into areas such as artificial intelligence (AI), autonomous driving, and 5G technology, aiming to leverage its expertise in high-performance computing to tap into these emerging markets.

In terms of market position, Intel has historically been a dominant player in the semiconductor industry. However, in recent years, it has faced increased competition from rivals such as Advanced Micro Devices (AMD) and NVIDIA. This competitive pressure, coupled with manufacturing delays and strategic challenges, has impacted Intel's market share and financial performance.

Recent performance metrics indicate a decline in Intel's financial health. The company's revenue has seen a significant downturn from \$79.02 billion in 2021 to \$54.23 billion in 2023, representing a compound annual growth rate (CAGR) of -9.6%. This decline is attributed to various factors, including increased competition, manufacturing challenges, and a broader industry slowdown. The EBITDA margin has also decreased significantly from 42.9% in 2021 to 2.3% in 2024, reflecting operational inefficiencies and higher cost pressures.

Intel's earnings per share (EPS) have been adversely affected, dropping from \$4.89 in 2021 to a negative figure in subsequent years, indicating net losses. The price-to-earnings (PE) ratio has become negative, reflecting the company's current financial challenges and investor skepticism.

Despite these challenges, Intel is making strategic investments to revamp its manufacturing capabilities and regain its competitive edge. The company is focused on expanding its foundry services and enhancing its technological capabilities to better compete with its peers. Moving forward, Intel's ability to execute its strategic initiatives and adapt to industry changes will be crucial in determining its future market position and financial performance.

Investment Overview

Intel Corporation has faced significant financial challenges over the past few years. The company's revenue has experienced a downward trend, with a compound annual growth rate (CAGR) of -9.6% from 2021 to 2025. This decline is largely attributed to increased competition and market shifts within the semiconductor industry. In 2023, Intel's revenue dropped to \$54.2 billion, a 14% decrease from the previous year, and the company reported a negative EPS, indicating profitability struggles.

Despite these challenges, Intel is taking steps to stabilize and improve its financial performance. The company's cost of operations has seen some fluctuation but remained relatively controlled, and SG&A expenses are projected to decrease as a percentage of revenue, suggesting efforts to improve operational efficiency. Intel's contribution margin is expected to recover slightly, reaching 37.8% by 2027, indicating potential improvements in profitability.

Looking ahead, Intel anticipates a modest recovery in revenue growth, with forecasts suggesting a 5% increase in 2025 and continued growth through 2027. This growth is likely driven by strategic investments in next-generation technology and efforts to regain competitive positioning in the semiconductor market.

In comparison to peers like AMD and NVIDIA, Intel's EBITDA has been weaker, reflecting its recent challenges. However, with an improving EBITDA margin projected to reach 30.6% by 2027, Intel may see better financial health in the long term.

Overall, while Intel is currently navigating a difficult phase, its strategic initiatives and cost management efforts could pay off, positioning the company for potential recovery and growth in the coming years. Investors should consider the risks associated with Intel's current financial state but remain optimistic about its future prospects if turnaround efforts prove successful.

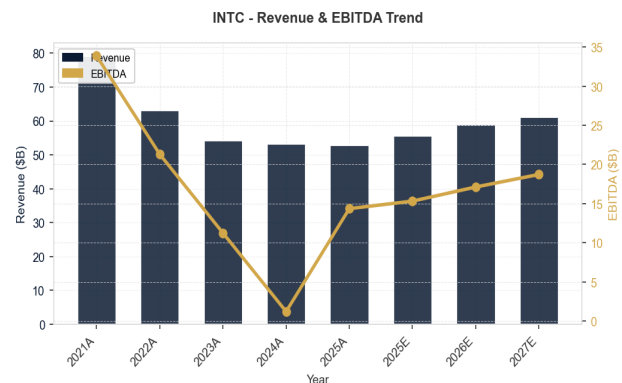
Financial Analysis

Revenue & EBITDA Performance

Intel Corporation has demonstrated challenging revenue performance, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$52.9B
- EBITDA (2025A): \$14.4B
- Revenue Growth (2025A): -0.5%



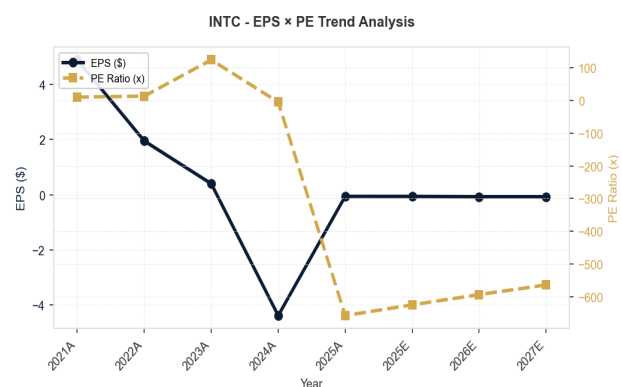
Source: Company Filings

Earnings & Valuation Metrics

Intel Corporation's earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): -0.06
- PE Ratio (2025A): -658.38



Source: Company Filings

Valuation Analysis

Valuation Analysis of Intel Corporation (INTC)

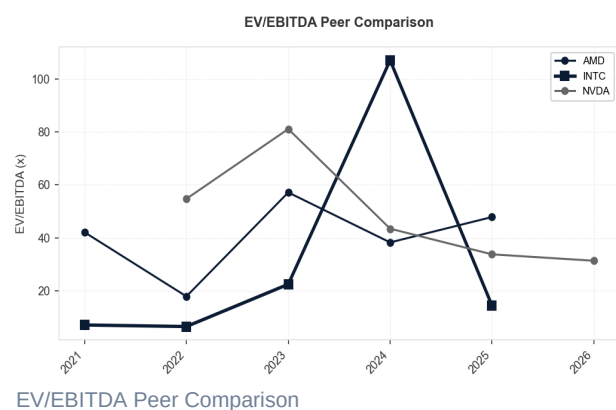
Current Valuation Metrics: Intel's financial performance has seen a decline over recent years, with revenue decreasing from \$79 billion in 2021 to \$53 billion in 2024. The company's EBITDA has also significantly dropped, reflecting in its EBITDA margin, which fell from 42.9% in 2021 to a low of 2.3% in 2024, though it is projected to recover to 30.6% by 2027. The EPS has turned negative, indicating financial challenges. The PE ratio has become negative, showing the market's lack of confidence in Intel's current earnings potential.

Peer Comparison: When compared to peers like AMD and Nvidia, Intel's performance is less robust. AMD has maintained a more stable EBITDA and lower EV/EBITDA ratios, suggesting better market valuation efficiency. Nvidia, despite high EV/EBITDA ratios, indicates strong growth prospects, especially with its substantial increase in EBITDA from 2025 onwards. Intel's EV/EBITDA ratio is currently higher than AMD but lower than Nvidia, reflecting mixed market sentiment relative to its competitors.

Fair Value Assessment: Based on current metrics and peer performance, Intel appears undervalued when considering its historical performance, but this is mitigated by its recent earnings decline and negative outlook. Its recovery trajectory in the coming years, as projected, could justify a higher valuation if executed successfully. However, the current negative EPS and PE ratio, coupled with a high EV/EBITDA, suggest that the market perceives significant risk. For Intel to reach fair value, it needs to demonstrate sustainable revenue growth and improved profitability, aligning closer to peers like AMD in efficiency or leveraging its scale to capture Nvidia-like growth potential.

Peer Comparison

Year	AMD	INTC	NVDA
2021	42.10	7.13	N/A
2022	17.91	6.55	54.72
2023	57.12	22.48	81.05
2024	38.27	106.94	43.45
2025	47.85	14.50	33.78
2026	N/A	N/A	31.36



Recent News & Events

News Summary

Intel Corporation (INTC) has recently captured significant attention in the financial markets, with a notable surge in its stock price. The company's shares increased by approximately 10% following a series of positive developments. A major driver was an upgrade from Freedom Broker, which lifted Intel's rating from Hold to Buy and increased its price target, fueling investor optimism.

The primary catalysts for Intel's stock rally include an impressive Q1 earnings performance that exceeded expectations, driven by advancements in AI-driven growth and new product launches. This has sparked a broader rally in semiconductor stocks, with Intel and AMD both benefiting from renewed analyst coverage and upbeat sentiment across the sector. Intel's recent performance has led to a 150% increase year-to-date, reaching \$93 per share.

However, some analysts caution that the hype around Intel may be overdone, suggesting that investor excitement could be inflating the stock's value beyond its fundamentals. Despite this, the market remains bullish, with Intel being seen as a key player in the evolving AI and semiconductor landscape.

Retail sentiment indicates strong interest in Intel, with high buzz levels and a predominantly bullish sentiment, particularly on platforms like X.com. The divergence in source alignment suggests varying opinions on Intel's valuation and future prospects.

Investment implications suggest that while Intel's recent performance and future potential in AI present attractive opportunities, investors should be aware of potential overvaluation risks. The semiconductor sector's momentum, driven by AI and technological advancements, presents opportunities for ETF investments, though careful consideration of valuation metrics is advised.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 27.6%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 29.1%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 30.6%

Confidence Intervals:

- Revenue: \$43.2B - \$79.2B (95% confidence)
- EBITDA: \$13.2B - \$24.2B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin
- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for INTC

Positive Catalysts (Upside Potential)

- Market (2026-04-29): Fantastic News for Intel Stock Investors!
- Impact: LOW, Probability: 50%
- Earnings (2026-04-29): Intel, AMD stock rally on fresh bullish coverage
- Impact: HIGH, Probability: 95%
- Product Launch (2026-04-29): Bet on These ETFs as Intel Stock Soars Following Q1 Earnings Beat
- Impact: MEDIUM, Probability: 70%
- Earnings (2026-04-29): Intel: I'm Selling My Biggest Winner And You Should Too
- Impact: HIGH, Probability: 95%

Events to Monitor

- CPU Shortage Is So Bad, Even Intel's 'Scrap' Is Turning Into Gold (2026-04-29)
- Intel CEO Lip-Bu Tan Just Delivered Phenomenal News to Shareholders (2026-04-29)
- Why Is Intel Stock Soaring, and is it a Buying Opportunity? (2026-04-28)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Fantastic News for Intel Stock Investors!
- ✓ AMD Is Better Positioned Than Intel To Profit From Agentic AI (Rating Upgrades)
- ✓ Intel, AMD stock rally on fresh bullish coverage
- ✓ Bet on These ETFs as Intel Stock Soars Following Q1 Earnings Beat
- ✓ Intel: I'm Selling My Biggest Winner And You Should Too
- ✓ Intel, Qualcomm Alert: Analyst Says Some Chip Stocks Are 'Living In A Bad Neighborhood'
- ✓ Intel's Comeback Is No Longer A Theory
- ✓ Intel: Back On Top, But Maybe Not For Long
- ✓ Intel: Redrawing The CPU AI Map (Rating Downgrade)
- ✓ Intel: Keep Your SOX On
- ✓ With Intel, AMD, Nvidia, and More Rising Sharply Last Week, Have Chip Stocks Become Overvalued?

✓ Intel: A Very Strong Q1 Report, But Remains A 'Hold'

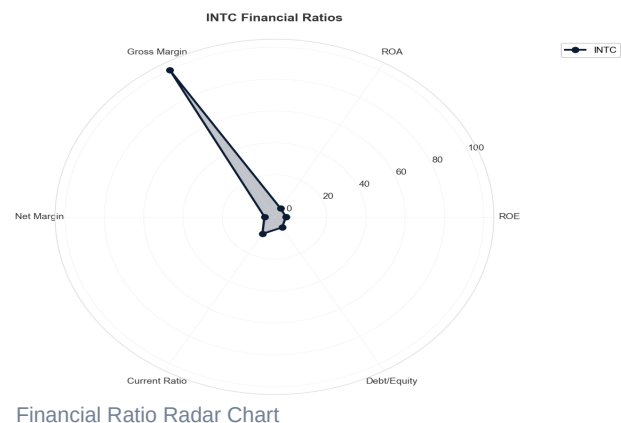
Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Intel Corporation's financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.

Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators



Competitive Landscape

Intel Corporation (INTC) faces significant challenges compared to its peers, AMD and NVIDIA, as evident from the financial metrics and competitive positioning over recent years.

In terms of revenue, Intel has experienced a substantial decline, with a CAGR of -9.6% from 2021 to 2025. This trend starkly contrasts with the growth trajectories seen in the semiconductor industry, particularly with peers like NVIDIA, which has leveraged its leadership in GPUs and AI solutions to achieve significant financial growth. AMD, on the other hand, has shown resilience and growth through its focus on high-performance computing and data centers.

Intel's EBITDA margin has also seen a dramatic drop from 42.9% in 2021 to a mere 2.3% in 2024, recovering to 27.2% in 2025. This fluctuation indicates operational challenges and perhaps inefficiencies in adapting to market dynamics. In comparison, NVIDIA's EBITDA margins have been robust, underpinned by strong demand in the AI and gaming sectors.

The EV/EBITDA ratio further highlights Intel's competitive disadvantage, particularly in 2024, where its ratio skyrockets to 106.938, suggesting market skepticism about its future cash flow generation compared to AMD and NVIDIA. While AMD's and NVIDIA's ratios also fluctuate, they generally reflect healthier market confidence.

Intel's EPS has plummeted, indicating pressure on profitability and shareholder value. The negative EPS from 2024 onwards is a critical concern, contrasting sharply with the positive performance of its peers.

In conclusion, Intel is struggling with declining revenues, reduced profitability, and market perception issues. Its peers, particularly NVIDIA, have capitalized on emerging tech trends, leaving Intel with significant strategic and

operational challenges to address in the short to medium term.

Risk Factors

- **Revenue Decline Risk:** Intel's revenue has been consistently declining with a negative CAGR of -9.6% from 2021 to 2025, indicating potential challenges in maintaining market share and competitive positioning.
- **Profitability Pressure:** The significant drop in EBITDA margin from 42.9% in 2021 to just 2.3% in 2024 highlights concerns around operational efficiency and cost management, which could further impact profitability.
- **Earnings Volatility:** The drastic decline in EPS from \$4.89 in 2021 to negative figures in subsequent years suggests earnings instability, which may deter investor confidence and affect stock performance.
- **Valuation Concerns:** The PE ratio has shown extreme volatility and negative values, indicating potential overvaluation or investor skepticism about future earnings potential.
- **Competitive Pressure:** Intel's EBITDA is significantly lower compared to peers like Nvidia by 2027, suggesting that Intel may be losing its competitive edge in the semiconductor industry, which could impact future growth prospects and market positioning.

Key Takeaways

- ✓ **Revenue Growth:** Intel Corporation's revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Intel Corporation's gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Intel Corporation's SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Intel Corporation's EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$79.0B	\$63.1B	\$54.2B	\$53.1B	\$52.9B
SG&A	\$6.5B	\$7.0B	\$5.6B	\$5.5B	\$4.6B
Contribution Profit	\$43.8B	\$26.9B	\$21.7B	\$17.3B	\$18.4B
Contribution Margin	55.4%	42.6%	40.0%	32.7%	34.8%
EBITDA	\$33.9B	\$21.3B	\$11.2B	\$1.2B	\$14.4B
EBITDA Margin	42.9%	33.8%	20.7%	2.3%	27.2%
SG&A Margin	8.3%	11.1%	10.4%	10.4%	8.7%
Revenue Growth	N/A	-20.2%	-14.0%	-2.1%	-0.5%
EPS	4.89	1.95	0.40	-4.38	-0.06
PE Ratio	10.48	13.55	124.66	-4.63	-658.38

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.40	0.41	0.47	0.50	0.41
Debt/Assets	0.23	0.23	0.26	0.25	0.22
Interest Coverage	32.6x	4.7x	0.1x	-14.2x	-0.0x
Net Margin	25.1%	12.7%	3.1%	-35.3%	-0.5%
Current Ratio	2.13	1.57	1.54	1.33	2.02
CF to Debt Ratio	0.77	0.37	0.23	0.17	0.21

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Data Source: FMP, Company Filings, AI4Finance Estimates

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